

# Corporate Responsibility Report 2019

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## Letter from Chairman + CEO

We appreciate your interest in our sustainability program. While corporate responsibility has been an important part of our company's culture since our founding days, the process of publishing an annual report for the past four years has been instructional in helping evolve our approach to environmental, social and governance (ESG) topics.

Part of that evolution is this report itself. Because ESG issues are an area of constant activity, we have enhanced our [corporate citizenship website](#) to provide more timely information that is tailored for various stakeholders. To complement our website, this report provides a few key highlights and a progress update on areas where we think we can make the biggest difference:



### Women's leadership

On our board, management team and throughout our ranks we are focused on ensuring women are well represented throughout our organization.



### Financial education

There is an acute need for financial education globally. From helping children learn math skills to preparing adults to make better investment decisions in an era of defined contribution retirement plans, we are focused on making a meaningful difference.



### Environmental markets

Transparent, market-based pricing helps companies make better decisions when allocating resources and investing in more sustainable technologies. Our markets help make that possible.



### Corporate governance

As a publicly-traded company that plays a critical role in the operation of globally regulated markets, strong corporate governance is at the heart of everything we do.

Additionally, our ownership of the New York Stock Exchange provides us with a unique opportunity to gather a community of innovative companies who are moving the needle on sustainability every day. Some are just starting on their ESG journey while others have led the way for decades. As the definition of what it means to be a sustainable company — and how we approach ESG — evolves, it is clear that we can all learn from one another. We are excited to play a central role in creating these connections and helping facilitate the development of best practices. Through panels, webinars, podcasts and web resources, we are helping companies better understand how they can most effectively reach their sustainability goals on behalf of all of their stakeholders.

Thank you for your interest in what we are doing in this important area. We look forward to your feedback.

All my best,



**JEFF**

**Jeffrey C. Sprecher**  
Chairman + CEO

## Section 1: Our culture

At Intercontinental Exchange, we connect the largest community of participants in all major markets at key phases of the investing, trading, hedging and capital raising lifecycle. Our markets, clearing houses and data services deliver comprehensive and mission critical risk management solutions that span our customers' workflows, and we are committed to bringing transparency to global markets: across energy, fixed income, equities and commodities.

Over the past two decades, we have undergone significant growth that has taken us from a few dozen employees in Atlanta to over 5,000 employees working in offices around the world. We have expanded from over-the-counter energy markets, to a global operator of exchanges and trading infrastructure across asset classes and around the world. Throughout these changes, our one constant has been the culture and the core values that established the foundation on which our company has been built:



### Collaboration

We work as one team focused on a common set of objectives and committed to each other's success



### Problem solving

We focus on identifying and solving our customers' needs and make well-informed, quick decisions



### Communication

We communicate clearly, constructively and frequently



### Integrity + professionalism

We hold ourselves and each other to the highest standards



### Leadership

We lead by example

[Read more about our culture >>](#)

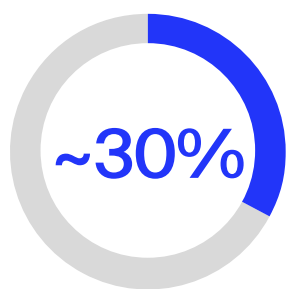
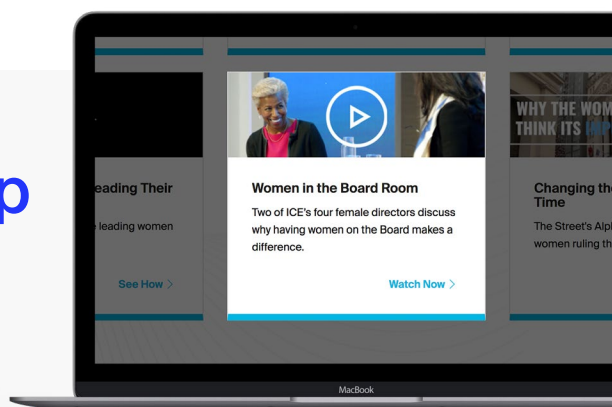


### Employee survey

As part of our commitment to this culture, we issued a company-wide employee survey in 2018 to ask whether we live and breathe these values on a daily basis. We all know our culture is not just what we say it is but how we act and think every day. We were pleased with our response rate, and while the results were overall positive, we found a few important areas where we can do better and are focused on addressing those.

## Section 2: Women's leadership

We are focused on helping ensure women are well represented on our team and throughout the global economy.



### Board

We've worked intentionally to increase the number of women on our board and today have four highly qualified women, approximately 30% female representation, on our corporate board, as well as strong female representation throughout our sub-boards.



### Senior management team

We have a strong slate of women who make up around 30% of our management team and include NYSE Group President Stacey Cunningham, ICE Data Services President Lynn Martin, ICE Clear US President Hester Serafini and Chief Regulatory Officer Elizabeth King.

[See how they approach women's leadership >>](#)

### Company-wide

We believe a diverse employee population contributes to better decision-making and better organizational performance. Our focus is on:



#### Gender pay equity

We address pay equity issues as we see them in our day-to-day interactions, including making adjustments to salary levels where there is an unexplainable difference. We also conduct formal reviews of compensation levels on a "like for like" job basis.



#### Gender representation

While we have improved our gender representation, we believe there is more to be done. We are pursuing equal gender representation through formal requirements for diverse candidate pools and diverse interviewers on teams where diversity is under-represented.



#### Training in support of diversity

Our training in support of diversity spans the spectrum of anti-harassment training for all employees to focusing on driving diverse employee retention and development through our leadership development program.

## Global economy

From our vantage point at the NYSE, we are fortunate to see many female founders, entrepreneurs and executives come through our doors. But not enough. We leverage our platform to support efforts to promote women leaders – from partnering with Fortune on their Most Powerful Women rankings to using our Opening and Closing Bells to increase visibility for women-focused initiatives.

We have also established a new advisory council of NYSE-listed issuers to increase diversity on boards. CEOs often cite a struggle to find enough women and minorities to fill vacant spots (the so-called “pipeline” issue). The NYSE is home to one of the largest C-suite communities in the world, with companies representing every industry and region. Connecting C-suite leaders is at the heart of what we do. Helping bring together current leaders with the next generation of board candidates will help CEOs broaden their networks, diversify their boards and improve corporate governance. We established an Advisory Board in 2019 that asks its founding board members to leverage their contacts and help us reach out to candidates for networking opportunities throughout the year.



## Fearless Girl

The Fearless Girl first appeared near Wall Street on the eve of International Women's Day in 2017 as a temporary art installation. It quickly became a permanent symbol of an entire movement. State Street Global Advisors commissioned the statue to raise awareness of their call on companies to increase the number of women on corporate boards. Since then, more than 400 companies that previously had no women on their board have added at least one female director. Fearless Girl was moved to a new home looking directly at the iconic façade of the New York Stock Exchange in December of 2018. There, she serves as a reminder about how far we've come and how much further we have to go to increase diversity on boards and throughout executive suites across corporate America.

We spoke to State Street Global Advisors Head of ESG Investments and Asset Stewardship Rakhi Kumar about the Fearless Girl.

**Q: Fearless Girl has been embraced by many for various reasons, what is the core message you were trying to deliver?**

**Kumar:** The message is simple: Research shows that companies with more women in leadership perform better than those without. Yet, women continue to be underrepresented. We want companies with no women on their boards to take action and we're holding them accountable by taking voting action against those

that don't act. We've also published guidance to help companies increase diversity that focuses on assessing current levels of management diversity, establishing long-term goals, identifying diversity champions, addressing behavioral biases, placing more women in roles where they can serve as role models, and publicly disclosing diversity related information.

**Q: Was the reaction you got what you expected?**

**Kumar:** We knew Fearless Girl had the potential to be a powerful and inspiring symbol, but certainly the magnitude of the response from the general public has exceeded our expectations. In terms of the response from companies, I'm encouraged by the changes we've seen so far. Certainly more companies are now aware of the need for greater gender diversity in boardrooms. This is not an issue that can simply be ignored by companies any longer and I think Fearless Girl helped to move the conversation to the forefront.

**Q: How do you think about the message she serves in her new location, right in front of the NYSE?**

**Kumar:** The New York Stock Exchange is viewed by many as the world's financial epicenter and her new location is an excellent position from which she can continue to inspire women leaders, companies and investors to increase gender diversity on boards. I think it brings more heft to her message, not just here in the United States, but globally. Fearless Girl has had a big impact already, but there's still much work to be done. We're just getting started.



Fearless Girl by

**STATE STREET** GLOBAL  
ADVISORS

Sculpture by Kristen Visbal

## Section 3: Giving back

### Focus on financial literacy

A financial literacy deficit is holding back millions of people around the world. According to S&P's Global Financial Literacy Survey, two-thirds of adults globally do not have an understanding of basic financial concepts. Whether it's teaching children fundamental concepts that help develop their math skills or preparing adults to make important investment decisions that will impact their financial security for decades, we see an incredible opportunity to make a difference. In 2019, we are focusing on financial education through a variety of programs.



### Employee and customer driven initiatives

We think it's important to support the communities where we live and work and we think our employees and customers are best placed to know what those needs are. In addition to our focus on financial education, we support dozens of charitable causes through our employee match program and donations in collaboration with our customers.

[Read more about how we give back >>](#)

### Employee match program



**300+**  
employees participated in  
our match program in 2018



**\$350k**  
was matched for a total  
of \$700,000 in giving



**500+**  
charitable organizations  
received funds

### Ring True

At the New York Stock Exchange, we offer a variety of governmental, academic and non-profit organizations the opportunity to ring the Opening and Closing Bell, visit the trading floor and conduct interviews with the media. In 2018, we helped several non-profits and community organizations to create additional visibility for their causes.



## Section 4: Environmental

### Data centers: Power usage effectiveness

We focus our energy management program on our two data centers, where we can make the most material difference. The most commonly used and cited metric for data center energy efficiency is Power Usage Effectiveness (PUE). At our data centers, we have consistently delivered a PUE that has outperformed the base building design by up to 14% by implementing multiple mitigation tactics including: optimized thermal stratification, data center air management, high efficiency HVAC chillers, speed control on cooling equipment and automated lighting control systems.

Our Basildon data center supplies 100% of its electricity from renewable energy. It was built to stringent specifications allowing us to attain the following ISO accreditations:

|                                                                                                     |                                                                                                           |                                                                                                                                                |                                                                                                                 |
|-----------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|
| <br><b>Quality</b> | <br><b>Environmental</b> | <br><b>Occupational<br/>health and safety<br/>management</b> | <br><b>Energy efficiency</b> |
| <b>ISO 9001</b>                                                                                     | <b>ISO 14001</b>                                                                                          | <b>BSEN 18001</b>                                                                                                                              | <b>ISO 50001</b>                                                                                                |

### Carbon markets

We started investing in environmental markets in 2003 through a partnership with the Climate Exchange, which we fully acquired in 2010. Now, with over a decade of investment in our products, ICE is recognized as a global leader in emissions and renewable energy markets.

Our services include critical risk management tools and help businesses meet government-mandated emissions reduction targets and other regulations in a cost-effective manner. The establishment of a transparent, market-based pricing system helps companies make decisions on how to allocate resources and invest in new technologies and innovative solutions.

ICE's products provide open markets, price discovery and transparency, as well as an effective means to comply with the requirements of various government programs.

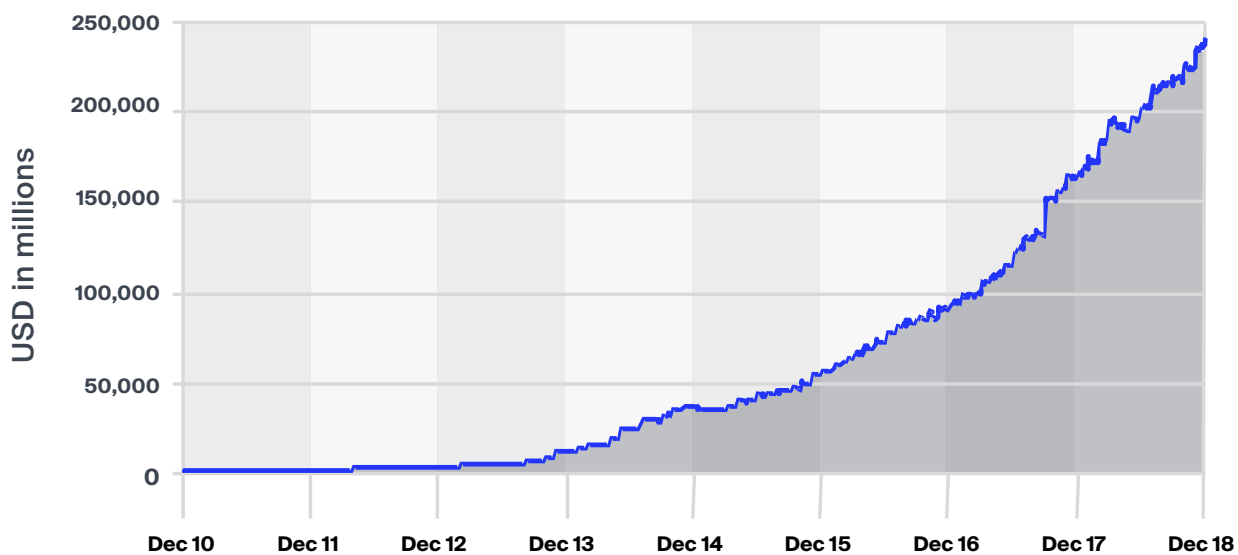


| Initiative                                                                                                                                 | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | ICE's Role                                                                                                                                                                                                                                                                                                                                       |
|--------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>European Emissions Trading</b><br>                     | <p>The EU Emissions Trading System (EU ETS) is a cornerstone of the European Union's policy to combat climate change and is a key tool for reducing industrial greenhouse gas emissions cost-effectively. Being the first – and largest – international system for trading greenhouse gas emission allowances, the EU ETS covers more than 11,000 power stations and industrial plants in 31 countries, as well as airlines.</p>                                                                                                                                                                                              | <p>ICE Futures Europe lists futures and options contracts for EU allowances, EU aviation allowances, and Certified Emissions Reductions. Since launching in 2005, contracts accounting for more than 78 billion tons of carbon emissions have traded on the ICE platform.</p>                                                                    |
| <b>California Cap and Trade Program</b><br>               | <p>The State of California passed a law in 2006 to reduce greenhouse gas emissions to 1990 levels by 2020. The program, which covers large industrial emitters as well as electricity generators and importers, kicked off in 2013 and expanded to include transportation fuels in 2015. In 2014, the Canadian province of Quebec linked its carbon cap and trade program to California's.</p>                                                                                                                                                                                                                                | <p>ICE Futures U.S. lists futures and options contracts based on the California Carbon Allowances that form the basis of California's cap and trade program. Since launching in August of 2011 and through the end of 2017, ICE has traded contracts accounting for more than 2.1 billion tons of emissions related to California's program.</p> |
| <b>Regional Greenhouse Gas Initiative</b><br>           | <p>The Regional Greenhouse Gas Initiative (RGGI) was the first market-based greenhouse gas reduction program in the U.S. It launched in 2009 with participation from several states in the Northeast. Following a program review in 2012, RGGI set a new 2014 cap of 91 million short tons that will decline by 2.5% a year through 2020. RGGI states sell nearly all emission allowances through auctions and invest proceeds in energy efficiency, renewable energy and other consumer benefit programs. These programs are spurring innovation in the clean energy economy and creating green jobs in the RGGI states.</p> | <p>ICE Futures U.S. lists futures and options contracts based on RGGI allowances and has traded contracts accounting for more than 1.3 billion tons since trading began in 2008.</p>                                                                                                                                                             |
| <b>EPA Criteria Pollutant Markets (SO2 and NOx)</b><br> | <p>The U.S. Environmental Protection Agency (EPA) finalized rules in 2011 that reduce air pollution and attain clean air standards. This rule, known as the Cross-State Air Pollution Rule (CSAPR), requires states to significantly improve air quality by reducing power plant emissions that contribute to ozone and / or fine particle pollution in other states.</p>                                                                                                                                                                                                                                                     | <p>ICE Futures U.S. lists futures and options contracts based on the various programs for SO2 and NOx reduction.</p>                                                                                                                                                                                                                             |
| <b>Renewable Energy Certificates</b><br>                | <p>Renewable Energy Certificates (RECs) are used to track and account for the use of renewable energy including for the purposes of state-administered programs that require electric utilities to use a prescribed amount of renewable energy.</p>                                                                                                                                                                                                                                                                                                                                                                           | <p>ICE Futures U.S. lists futures and options contracts based on renewable energy programs run by the States of Connecticut, Maryland, Massachusetts, New Jersey, Pennsylvania and Texas. Since launching trading of RECs in 2009, ICE has traded contracts accounting for more than 101 million certificates.</p>                               |

## Sustainable finance

As investors increasingly look for sustainable investment opportunities, growth in green finance continues to accelerate. Across our markets we promote opportunities for sustainable investment including over \$3.5 billion in listed sustainable ETFs as well as ESG-based indices including the ICE BoAML Green Bond Index, which tracks securities issued for qualified green purposes that promote climate change mitigation or adaption. Driven by strong issuance trends, total market capitalization of bonds included in the ICE BofAML Green Bond Index grew 45% in 2018.

ICE BofAML green bond index market value



Read more about how we are supporting market-based solutions to environmental challenges >>

## Section 5: Corporate governance

Strong corporate governance is the foundation of the markets we operate and is critical to how we approach our entire business.

[Read more about our approach to corporate governance >>](#)

### Board refresh

We have made major strides in recent years to refresh our Board and bring together diverse perspectives. We will continue to refresh our board in an orderly fashion to ensure a diversity of viewpoints are represented. In addition to increasing the female representation on our Board, we have added relevant skill sets including cybersecurity, regulatory affairs and international policy.



**Female representation**



**Cybersecurity**



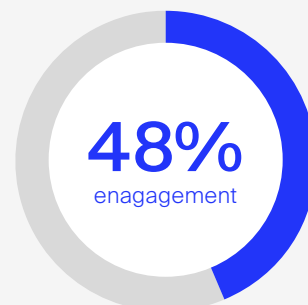
**Regulatory affairs**

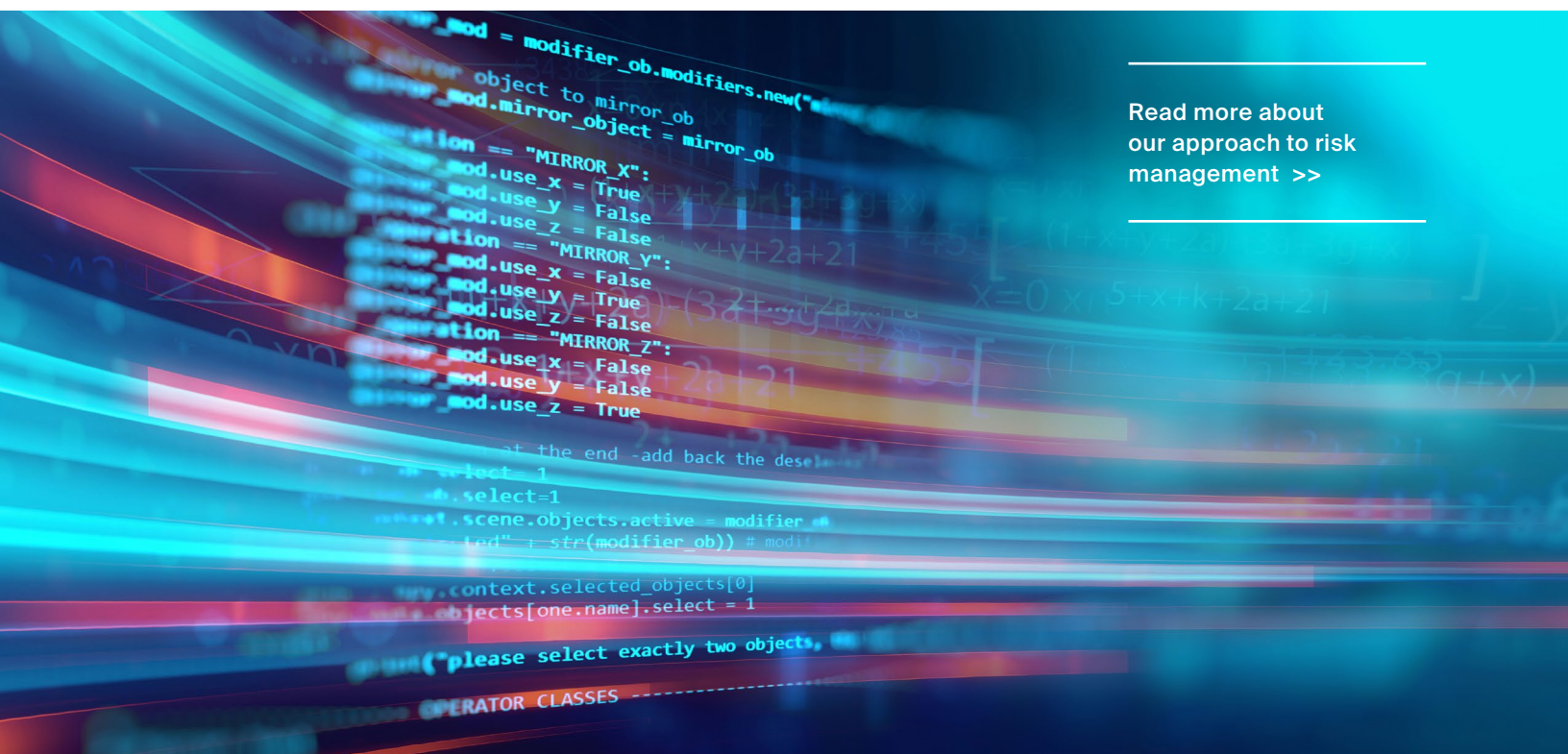


**International policy**

### Investor engagement

Through roadshows, conferences, calls and meetings we are constantly engaging investors on a number of issues. Those discussions increasingly include ESG issues. In 2018, we engaged with 48% of our investor base on ESG issues.





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Read more about  
our approach to risk  
management >>

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## Risk management

We take seriously the trust our customers have in our platforms, data and technology and the responsibility to protect their data. Our risk management programs are designed to provide for the security and safety of our operations, our people and our facilities, as well as mitigate business disruptions.

We employ a three-lines of defense approach to risk management:

# 1

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**The first line** of defense is comprised of management and is responsible for the day-to-day operation of the business and the associated risks

# 2

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**The second line of defense** serves an oversight and challenge functions and includes our Enterprise Risk Management, Legal & Compliance, Financial Controls, Human Resources and Information Security teams

# 3

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**Internal Audit is the third line** of defense and serves to provide an independent check and additional assurances that risks are anticipated and mitigated

## Section 6: The NYSE community

Through our community of roughly 2,400 publicly-traded companies, we provide educational opportunities and share best practices. This includes conferences, webinars, podcasts, web resources, working groups and meetings. Additionally, with our strong ties to the buy-side, we are uniquely positioned to help create connections between the issuer and investor communities on sustainability disclosure matters.

As members of the Sustainable Stock Exchange Initiative and the World Federation of Exchanges Sustainability Working Group, we support efforts to promote sustainable investment through our markets and encourage disclosure of ESG data.

- At a panel in September we spoke with Blackstone (NYSE: BX), Dow Chemical (NYSE: DWD) and Kimberly Clark (NYSE: KMB) about how they are measuring sustainability. You can [read more](#) about the panel, which was chaired by the head of the Center for Sustainable Business at the NYU Stern School of Business Tensie Whelan.
- In October we sat down with NRG Energy's Vice President for Sustainability Bruno Sarda and SASB's Director for Capital Markets Policy and Outreach Janine Guillot to discuss how investors are using ESG data and how sustainability standards are evolving to meet those needs. You can [watch that interview here](#).
- In November we heard from MFS Research Analyst Robert M. Wilson, Jr. at a forum of our Listed Company Advisory Board on what investors are looking for from ESG data.
- We maintain an online library of [ESG disclosure resources](#) on our website.

We will continue these activities in 2019 and welcome ideas.



## Conclusion

We look forward to updating you throughout the year on our website and encourage you to check there for more detailed information. We welcome conversations on what we are focusing on and how we can continue evolving our approach to sustainability issues. Please contact us at any time: [CorporateCitizenship@theice.com](mailto:CorporateCitizenship@theice.com).



# Intercontinental Exchange

## Corporate headquarters

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### Atlanta

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Consistent with our sustainability practices, this report is available online and will not be distributed in print.